ICF & the Launch of Vande Bharat Express

Strategic Management · Group Case Analysis

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Transformational leadership & cultural overhaul

The problem: ICF was strong, with 12,000 members, but feudal - hierarchy, ritual, and "safer to say no" decision-making. Before getting the train set right, the culture needed changing.

What Mani did:

First-day memorandum to all 12,000 employees: no saluting seniors, no VIP status for GM, no officers' names on plaques - 155 plaques were torn down and re-dedicated to senior staff on the ground
Was accessible (mobile available to all employees) and made daily surprise floor rounds instead of ceremonies
Criticized file delays as inexcusable, but told staff to freely voice dissenting opinions - speed without squashing dissent
Boosted the recognition budget almost to ~$750K for good work, and fired ~165 people for slacking off/shirking - carrot and stick, both real

Why it matters: Classic Kotterian change management process - urgency, early successes, norms established before anything strategic is touched. This created the trust and capabilities that made Slides 3-6 (vision, capabilities, execution) possible at all.

Vision + building indigenous capability

1. **Develop India's first indigenous modern train set:** The vision/strategy behind this ICF was to develop the indigenous **capability** to design and manufacture a world-class modern train set instead of depending on foreign imports.
2. **Modernization of Indian Railroads.** The aim was to have a faster, safer and more comfortable train that can run at 160 kmph and be tested at 180 kmph.
3. **Avoid full Transfer of Technology**: ICF did not want to buy a complete foreign design, but wanted to develop its own knowledge and retain intellectual property rights in India.
4. **Improve Indian engineering capabilities:** Global consultants were used only to fill particular technical gaps during that time ICF Engineers gained advanced design and manufacturing skills from them.
5. **Promote cost-effective self-reliance**: ICF used over 80% Indian components in order to support local vendors and manufacture the train at nearly one-third of the estimated import cost.

Navigating a weak-institution environment

- Getting Railway Board approval was genuinely difficult Indian Railways' bureaucracy is layered, and interdepartmental rivalry made it worse. Progress stalled repeatedly.
- A well-organized import lobby actively pushed for buying finished train sets from abroad at roughly three times the cost, with additional technology-transfer payments on top. The "make in India" case had to be argued against real money and real influence.
- The system itself rewarded inaction. In a feudal, seniority-driven hierarchy, saying no carried no risk of saying yes did. Officers delayed, denied, or simply passed the file along. Files moved from table to table.
- Any deviation from established procedure exposed officers to vigilance complaints. Jealous colleagues could allege corruption, triggering inquiries and media scrutiny that threatened careers, reputations, and retirement savings even when no wrongdoing existed.
- Public procurement rules required ordering from the lowest bidder (L1), regardless of quality, reliability, or delivery track record. On a tight budget with a tighter deadline, that was a live threat.
- Mani's response was straightforward, if not easy: be absolutely certain about the right product, then make the procurement process so transparent and well-documented that there was nothing for anyone to allege. Keep a large enough pool of Indian vendors to maintain cost pressure. And when it came to choosing specific vendors, hand that decision to the people with actual technical expertise and then stay out of it.

People engagement & stakeholder mobilization

1. Disrupting hierarchy to unlock engagement

- Day-1 memo to all 12,000 staff: Officers enter GM's cabin without notice, no standing for seniors, no VIP inaugurations, facilities named after senior-most staff, not officers.
- Encouraged dissent openly: "A rebel heard is a rebel won over." Zero tolerance, tough on disrespect to women employees.

2. Symbolic and physical connection to the workforce

- Factory rounds are unannounced, with three times daily informal handshakes/hugs and on-the-spot problem resolution.
- Established 20 all-women "Mahila Shakthi" fabrication gangs redefined roles from "helpers" to "doers"/technicians.
- Welfare spread to the family, not only the worker gyms, parks, libraries, and sport courts all over the colonies
- ICF Family Tree" photo of all 12,000 employees on one wall became an instant emotional touchpoint

3. Carrot-and-stick meritocracy

- Enhanced award budget to ~US$750,000; frequent, non-repetitive recognition (certificates + cash)
- Equally firm on discipline ~165 delinquent employees exited, but with a review mechanism for genuine cases

4. Internal stakeholder engagement

- Built the "Dream Team" by interviewing officers on real problems they could solve and pulled in existing, underutilized ICF talent instead of hiring outside. "One Month, One Idea" each officer had to propose and own an improvement idea → ~2,000 ideas implemented in 24 months (bottom-up ownership)

Execution & smart scoping under constraints

1. The constraint: time, cost and capability

- The industry norm was 36-42 months, but ICF committed to 18 months, since Mani retired in ~21 months (Dec 2018)
- The budget was US$12.5M per set (US$25M for two), about ⅓ of import cost, though the team doubted it could deliver at this scale

2. Scope defined upfront: what it will *not* be

- Scoping began with open team talks in Dec 2016, settling on 2 sets at 160 km/h, tested at 180 km/h; 220 km/h was dropped because the track wasn't ready
- Tilting coaches, an aluminium body and a long bullet nose were cut, and the day-train use (5-7 hrs) made it a 2-class chair car

3. No Transfer of Technology (ToT)

- Mani rejected ToT because such products rarely meet quality standards; real know-how "lives in the creator's mind."
- Building indigenously from concept to manufacture kept IPR fully with ICF, with more than 80% Indian components

4. Filling capability gaps surgically (Exhibit 3)

- Foreign consultants handled the car body (Poland/Switzerland), bogie (Poland) and interiors (Spain/France); vendors supplied IGBT propulsion and brakes
- Cabling and minor assemblies were done in-house, as no consultant fit the budget; seats and plug/sliding doors were sourced globally

5. Procurement: speed without the lowest-bidder (L1) trap

- ICF choose best-fit vendors over the lowest bidder (L1), awarded contracts fast, and used a wide Indian vendor base to hold costs down
- The team alone decided vendors and tender type (open, limited or single), accepting the risk that any deviation could invite vigilance enquiries

6. Resulting design (Exhibit 4)

- A 16-coach train of 4-coach units, 50% motored, with no locomotive and no reversal needed; stainless steel body on an LHB shell, seating 1,128
- Axle load is 17 t, acceleration 0.8 m/s² and braking 1 m/s², and the bogie can later go faster with just a gear or brake change

Takeaway: Scope ruthlessly, fill only true gaps, and let the team decide fast.